Mark schemes

1. **Issues and areas for discussion include:**

Introduction	• inflation and deflation defined • the issue of price stability as an objective • the issue of avoidance of deflation, eg the possibility of being able to do so • other macroeconomic objectives • the UK experience • the current inflation target of 2% (CPI).
Developing the response to the question (application and analysis)	• 'benign' v 'malevolent' • the benefits to competitiveness of a period of deflation • the benefits to real income and real purchasing power, boosting AD • the benefits of reflationary policies to correct deflation • the danger of entering a 'liquidity trap' scenario (examiners note that this term is not in the specification) • the impact on the real value of savings • the impact on business and household confidence • postponement of consumption • the impact on profits, for example, if consumption is postponed or wages are 'sticky' downwards, and hence the impact on investment • the ultimate damage to growth and jobs • the impact on creditors/debtors • the ultimate impact on living standards • deflation increasing the real burden of debt • arbitrary distributional effects • possible adverse macroeconomic implications overall worsening the fiscal position • use of diagrams • reference to the UK • reference to other economies.

Evaluation	• 'a' or 'the' major macroeconomic objective • the degree to which the problem can be anticipated and corrective policies followed • the degree of deflation • the duration of the problem • deflation or inflation? Both to be avoided and the control of both seen as a major economic objective • avoidance of deflation as always needing to be the major objective: an assessment of deflation as the major macroeconomic objective in relation to an assessment of the importance of other macroeconomic objectives, eg deflation and the balance of payments as opposed to deflation and economic growth • the issue of whether equal weight needs to be given to all macroeconomic objectives and their interrelationships recognised • such weighting may change to suit changing circumstances • an assessment of deflation in relation to a possible alternative, ie mild inflation which might be welcomed or runaway inflation which would not • the simultaneous experience of other economies • mild deflation as a minor problem compared to the effects of the authorities over-reacting and reflating too strongly • a final judgment, eg price stability needs to be the major macroeconomic objective with control over changes in the price level whether these are pointing to inflation or deflation because this can be seen as the foundation upon which a strong macroeconomy can be built. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

2.

Introduction	• the economic cycle • the nature of a recovery • interest rates and the role of the MPC • brief reference to other policy options.
Developing the response to the question: **Application / Analysis**	• the relevance of interest rates to bringing about a recovery • consumer credit • investment • housing costs • aggregate demand • economic growth • unemployment • the limitations of interest rate policy • the function of other aspects of monetary policy, e.g. quantitative easing • the potential role of fiscal policy • the importance of a sound supply-side to underpin a recovery • the significance of business and consumer confidence • the potential significance of overseas markets • interest rate changes influencing “hot-money flows” , bringing instability which may impede a recovery but also of potential benefit • ‘hot-money flows’ and the exchange rate • aspects of an economy which may not directly benefit from low interest rates, e.g. structural unemployment • use of diagrams • reference to the UK and / or other economies.
Evaluation	• the extent to which interest rates are allowed to fall • over what period of time low interest rates are tolerated • the support given, if at all, by other aspects of monetary policy • the limitations if, simultaneously, a tight fiscal policy is followed by government • the limitations if business and consumer confidence are very low • low interest rates used to bring about a recovery in an internationally hostile context • business and consumer concern over how long such a policy will be maintained • microeconomic policies may show themselves to be more effective

	• low interest rates as a cause of inflation which may impede the recovery • a final judgement made on the policy. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

3.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• reference to the quote in the question • the recent experience of rising oil prices • criteria for assessing macroeconomic performance
Developing a response to the question:	• the implications of this for the pattern of production • consequences for the balance of payments on current account • inflation • the impact of inflation on jobs • the impact of inflation on economic growth • rising oil prices and business and consumer confidence • implications for government revenue and expenditure • the impact on export performance
Evaluation:	• whether the oil price increases are simply building on past price increases or whether they represent a supply-side shock of which there has been little or no recent experience • whether or not petrol taxes are reduced to compensate for higher oil prices • mature economies having less dependency on oil • whether price increases are sustained over a long period of time • whether, as in the UK's case, an economy is also an oil exporter as well as an importer • whether rising economic growth and inflation-reducing forces are in evidence to dull the impact of rising oil prices
Also give credit for:	• relevant use of evidence and examples from the UK / other economies • diagrams

[25]

4.

- inflation, with an explanation perhaps in terms of official UK measurement, how measurement is arrived at, recent experiences, other relevant factors

Explain causes of inflation, eg

included within **cost-push factors** could be:

- the rising cost of oil, which for many firms will be a significant cost of production. As oil costs rise, assuming no fall in other costs of the firm a decision has to be made that either profit margins be narrowed or prices of final output need to rise. One consideration will be the price elasticity of demand for the product in question, i.e. the more inelastic is demand, the more likely consumers will absorb any price increase
- wage costs
- supply-side weaknesses, eg low productivity
- imported inflation, perhaps via exchange rate depreciation

Included within **demand-pull factors** could be

- the demand-pull inflationary process
- the impact of monetary policy
- the impact of fiscal policy
- earnings growth

other factors could also be considered, eg

- expectations
- money supply / monetarist explanation

[15]

6.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• common macroeconomic policies • economic recovery • the significance of the rest of the EU to the UK • the criteria by which the impact on the UK economy might be assessed.
Developing a response to the question:	• the implications for economic growth • the impact on employment / unemployment • the consequences for the balance of payments on current account • the effects on the £ / € exchange rate • the greater likelihood of avoiding a period of deflation • the dangers of inflationary pressures building up • the further development of the SEM in a period of recovery and increasing prosperity.
Evaluation:	• the possible significance of a slow recovery • the possible supply problems if recovery is too rapid • whether the UK can take advantage of EU recovery • whether the advantage lies more with the rest of the EU in terms of exporting to the UK than for the UK exporting to the rest of the EU • the significance of EU recovery for the UK relative to recovery taking place elsewhere in the world, i.e. in markets which have significance for the UK • whether or not recovery has implications for the movement of labour in and out of the UK and how this affects the UK labour market.
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

7.

For

- defining budget or budget deficit or inflation
- placing the deficit into the context of budgetary positions / fiscal policy
- referring to types of inflation

For explaining how budget deficits might help determine the rate of inflation in an economy

The influence of a budget deficit on AD. A deficit can create a multiplier effect, with government spending greater than tax revenue. As consumer incomes rise so too will spending. Firms might also be motivated by the fiscal expansion. This could generate more investment. Both higher consumer spending and investment will create pressure on prices and raise the rate of inflation.

Deficits causing interest rates to rise as UK creditors demand higher rewards. Interest rates as a potential cost to firms causing prices to rise.
Real-resource 'crowding out', by making resources for private sector expansion more expensive, costs and prices may rise.
The deficit spearheading expansion of public and private sector employment; a consequent fall in unemployment creates pressure on wages.
The dangers to inflation of financing deficits through the printing of money.
A deficit allowing extra spending on supply-side reforms which may help reduce the rate of inflation.
Deficits used to expand the welfare state and encourage welfare-dependency, creating spending power not accompanied by output creation.
Any other valid explanation
Use of diagrams, e.g. the Phillips Curve; AD / AS
References to the UK and / or other economies

[15]

8.

It is hoped that candidates will clarify the criteria by which consequences can be measured and then relate China's growth to the performance of the UK economy in an evaluative way.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• recession • economic growth • criteria for assessing consequences
Developing a response to the question:	• reference to the growth performance of the Chinese economy • reference to the problems of the UK economy • why continued growth of a major economy may be important to another country in recession • economic growth • the balance of payments • employment / unemployment • investment flows • inflation • China's growth perhaps causing inflation exacerbated by the UK pursuing a potentially inflationary policy of quantitative easing and fiscal expansion • the impact on the UK of China taking increasing control over world resources by its investment • China's contribution to the IMF which might ultimately be of benefit to the UK • impact on the exchange rate.
Evaluation:	• the extent to which China wishes to share the 'proceeds' of growth with other countries by importing more goods • although the phrase 'global recession' is used it may be that some other UK markets are not faring too badly, so making China's contribution to UK economic performance less significant • the ability of the UK to maintain / increase market share in China • China is pushing ahead with export-led growth which may not be in the long-term interests of UK manufacturing • the extent to which the UK economy welcomes Chinese investment in its economy and whether China reciprocates. *Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth and with no attempt to place it into the context of the UK/China.*

	However, this must be considered as low-level evaluation and awarded accordingly.
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

9.

Explanation:

explain the concept of global investment, eg

- define global investment in terms of international capital flows, perhaps with a reference to the role of multinational companies in this respect
- explain the growth of global investment, eg in terms of outsourcing, utilising cheap labour, establishing ownership of raw materials and energy supplies
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- simply define global investment in terms of 'total investment in the world'.

Analysis:

explain the concept of global investment, eg

- it promotes economic growth in that it is an injection into the circular flow of income, generating higher AD through the multiplier process but also adding to the productive capacity of the recipient economy
- its impact on the further economic development of less-developed economies
- human capital formation helping to promote skills within a country's workforce
- financing innovation
- helping to improve productivity
- a general improvement in business efficiency

[9]

11.

Introduction	• macroeconomics • macroeconomic objectives • brief reference to relevant policies • the notion of 'conflict'.
Developing the response to the question: **Application / Analysis**	• long run v short run • potential conflict between economic growth and stable prices • potential conflict between economic growth and a healthy balance of payments on current account • inflation beginning to impede growth • inflation damaging employment prospects • inflation and the balance of payments on current account • attempts to correct a balance of payments on current account harming employment and growth, at least in the short term • attempts to stabilise prices causing harm to employment • attempts to achieve full employment causing inflation to rise (Phillips Curve analysis) • economic growth and the environment • economic growth and income distribution • the significance of the supply side in reducing or avoiding conflict • the possible need for compromise • use of diagrams • references to the UK and / or other economies.
Evaluation	• the idea that avoidance might be utopian in a complex modern economy • the acceptability of compromise between objectives – control rather than complete avoidance • the intensity of any problems arising from conflict • the degree of persistence of conflict or a short-term phenomenon • the importance of supply-side reforms and the time taken for them to become effective in the context of conflict • a particular objective may have key importance in an economy's economic strategy in a certain period of time and will be pursued for this reason irrespective of conflict and without any attempt made at avoidance • given any set of macroeconomic policies what is the net impact of them and is this acceptable? For example, limited environmental controls in the context of needing to secure economic growth • a final judgement on the idea of conflict avoidance.

	Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

12.

Introduction	• criteria for measuring economic consequences • nature of potential problems • nature of potential opportunities • the EU • the issue of enlargement of the EU.
Developing the response to the question: **Application**	• Turkey's geographical position (line 3) • an expected population in Turkey of 100m by 2020 (line 10) • Turkey's vast economic potential (line 11) • Turkey's impressive growth for at least 5 years, 2002 – 2007 = 7% (lines 14 – 15), 2010 first quarter = 11% (lines 13 – 14) • Turkey's reputation for economic instability (line 20) • high inflation in some recent years in Turkey (lines 20-21) • an attractive centre for investment (line 24) • migration and the impact on UK PPF • consequences for UK AD as the EU expands • export-led multiplier.
Developing the response to the question: **Analysis**	• the diverse nature of member countries of the EU • the UK approach to the EU and to enlargement in particular • demands upon the EU budget and hence upon individual members • Turkey as part of the SEM and the likely flow of cheap imports to UK • cheap migrant labour impacting on the UK labour market and social and economic infrastructure • Turkey as an additional market for the UK • investment opportunities • investment income coming back to the UK • the benefits of its established links with Asia • UK economic growth • UK unemployment • UK balance of payments • UK inflation / deflation • reference to other economies • use of diagrams.
Evaluation	• Turkish membership may be seen as the "straw which breaks the camel's back" as EU enlargement gathers pace

	• short term v long term considerations • the ability of the UK to take up opportunities successfully • the UK's possible inability to take up opportunities in the context of having to shoulder some of the problems which Turkey's membership may give rise to in the EU • the possibility that the UK macroeconomic indicators do not all head in the same direction (for example, Turkey as a stimulus to economic growth but migrant labour causing an unemployment problem) • the difficulty of giving "values" to pros and cons pre-membership and therefore being unable to take up a decisive stance with confidence • the impact could change over time as circumstances change • continuing enlargement, including Turkey, potentially providing ammunition to the Euro-sceptics in government and beyond causing the UK to remain by choice on the sidelines of the EU. An assessment of the significance of this issue for the UK • a final judgement on the overall impact on the UK economy. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

13.

For • defining supply side or supply-side factors • government policy or business initiatives • defining economic growth or sustained economic growth • explaining the connection between supply-side factors and sustained economic growth, ie supply-side generated growth is less likely to bring conflict with other objectives.

Supply-side factors will have an impact on both the long- and short-run aggregate supply curves of an economy shifting them to the right, indicating that the productive potential of the economy has increased. The production possibility frontier will also shift to the right, indicating that the economy has gained more resource or is using existing resources more efficiently. The trend rate of growth should therefore show an improvement.
The impact of investment.
The impact of productivity.
Education and Training.
Welfare Reform.
Occupational and geographical mobility.
Any other valid point.
Use of diagrams to help support explanations, e.g. AD/AS, PPF

Reward references to the UK economy.

Where a candidate does little more than list a number of supply-side factors in the explanation, award a maximum of 7 marks for the answer as a whole.

[15]

16.

Introduction	• macroeconomic performance • the possible nature of major global events such as sports competitions, natural disasters and economic downturns.
Developing the response to the question: **Application**	• the stimulus to countries hosting major events benefiting other countries (lines 5-8) • the distinction between predictable and unpredictable evens (lines 16-19) • the importance of such events forging stronger economic ties between countries (lines 13-15) • the need for a strong economy in order to take advantage of opportunities (lines 29-30) • US financial crisis (line 19) • the Japanese earthquake and tsunami in 2011 (line 23). • use of AD / AS analysis • the multiplier • economic cycle
Developing the response to the question: **Analysis**	• economic growth • stability of prices • employment / unemployment • the balance of payments on current and capital accounts • creating a strong economy in order to be able to respond to the stimuli of global events • the possibility of global events having a negative impact and the ability of an economy to respond • analysis of fundamental factors such as productivity, quality of resources, flexibility • references to the UK and / or other economies • use of diagrams.
Evaluation	• what we might regard as "significant" • what we decide to be the key measure(s) of "significance" • the likelihood of major global events not being good news, e.g. disruption to oil supplies • how we might be perceived to be economically weak by other countries because of our possible inability to play a key role as an event unfolds • is the impact of any major global event nothing more than transitory? • with so many potential "players" internationally any one country

	can't always expect to have a significant role to play • the short term impact of an "event" in contrast to long term sustaining of, and benefits from, trade and investment links • possible contrasting abilities to respond to positive events as opposed to negative ones or vice versa • a final judgement on the overall significance. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

17.

Introduction	• the trade in goods • the balance of payments on current account – deficits and surpluses • criteria for assessing the impact of a deficit • the potential nature of the problem in the context of the UK economy.
Developing the response to the question: **Application / Analysis**	• the possible determinants of a successful export performance • possible determinants of imports • whether competitiveness in world markets is an underlying issue and is the real cause for concern • Whether global macroeconomic conditions provide part of the answer and whether they will be a temporary phenomenon • whether deficits arise from a loss of comparative advantage • the part played by the exchange rate at any one time and whether this is a temporary difficulty • whether non-price factors must be seen as a cause for concern • deindustrialisation as part of the explanation over the long term • the impact of deficits on other macroeconomic indicators – growth and employment • the compensatory role of invisibles • the compensatory role of capital flows • the possibility that a deficit might be a reflection of rising living standards in a country • use of diagrams • reference to the UK and/or other economies
Evaluation	• how persistent the deficit is • how large the deficit is, for example, in relation to GDP • whether it has an impact on the exchange rate and the consequences of this • the ability to borrow, if necessary, to finance the deficit • whether, in reality, it has had any lasting adverse impact on growth or jobs • whether the attempts to reduce it cause more problems, e.g. deflation of AD • whether the deficit brings higher living standards, if only in the short term • is the deficit indicative of a country 'living beyond its means'? • it may lead to calls for increased protectionism which may cause

	long term problems • the need to distinguish actions to control the deficit from actions to bring about a long term solution • international opinion of the deficit • whether it brings intervention by the IMF • a final judgement. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

[25]

18.

For

- defining unemployment
- making reference to official measures of unemployment
- explaining types of unemployment

The impact on AD as average incomes fall reducing household spending power and a consequent fall in confidence discouraging business investment. In contrast, AD will be influenced if businesses may make greater efforts to secure export markets, while government spending may increase to help the unemployed.
Changes in government spending and taxation and the economic impact of these.
Impact on government finances as spending increases but tax revenues fall.
Overall impact on economic growth.
The problem of rising inequality.
The waste of resources so that the economy operates at less than full capacity.
Any other valid point.

The effect on living standards generally as consumption of goods and services, such as food and alcohol, is curtailed. The quality of life is affected as spending limits are placed on, for example, heating and holidays. The type of housing may need to be reconsidered as a mortgage or existing rent become unaffordable.
The level of income in particular and the impact on living standards.
The reluctance to claim, but the necessity of claiming, welfare benefits − perhaps further demoralising the individual.
Lower morale, perhaps resulting from unsuccessful job search impacting on worker performance.
Lower morale, perhaps resulting from unsuccessful job search impacting on worker performance.
The dangers of long-term unemployment.
The need for geographical and/or occupational mobility (with implications for re-training).
Long-term financial implications in terms of savings and pensions.
Any other valid point.

Use of diagrams to help support explanations, e.g. AD/AS, PPF.

Reward references to the UK economy.

Where more than two problems are considered for either the individual or the economy, reward the best two problems.

Award a maximum of 10 marks if only the individual or the economy is considered.

[15]

19.

Introduction	• the nature of the EU perhaps with reference to institutions • the UK position within the EU • fiscal policy and budgetary positions • criteria for assessing consequences.
Developing the response to the question: **Application**	• Lines 1–3: the remedial Keynesian approach now denied to member states • Line 4: the abandonment of fiscal rules • Lines 11–14: the crisis in Greece arising from fiscal looseness • Lines 19–23: the UK Government seeming to be a step ahead of some in the EU especially with the setting up of the OBR. • Keynesian multiplier • Budgetary positions • Current account deficits.
Developing the response to the question: **Analysis**	• the general economic consequences any individual economy might expect in trying to achieve a balanced budget • the consequences for the EU as a whole of achieving that position • the idea of 27 nations being required to follow the same policy • the reasons for the policy • the impact on economic growth • the impact on living standards in the short term and long term • the impact on employment/unemployment • the impact on the UK's balance of payments on current account • the impact on inflation • the possibility of deflation • the impact on types and levels of government spending • the changes in taxation and the possible impact of the changes • use of relevant diagrams • reference to other economies.
Evaluation	• whether or not the policy is introduced for economic reasons or to reflect a particular political philosophy may influence judgement on the policy • the time given for any one country to achieve a balance • the UK's original fiscal position at the time the policy is introduced • for how long a country will be expected to continue with the policy • whether or not the policy will be effectively enforced • whether the UK pursues the policy mainly through tax increases or

	public spending cuts or a combination of both • whether it will be short-term 'pain' for long-term benefit • the differing impact on particular sections of the UK population • whether additional private sector activity will compensate • whether monetary policy has the same constraints imposed • the problems which 'one-size-fits-all' policy tends to generate for individual nations • a final judgement on the overall impact on the UK economy. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

[25]

20.

Introduction	• economic growth • other macroeconomic performance indicators • the contrasting economies of India and the UK.
Developing the response to the question: **Application**	• Line 3: reference to increased exports • Lines 6–8: impressive quarterly growth which, if maintained, could create spin-offs for the UK • Line 18–19: GDP, multiplier, accelerator • Line 19: inward investment from India • Lines 24–28: benefits for the UK from India's infra-structure development • Line 31: the limitations for the UK if India remains 'fiercely protective'.
Developing the response to the question: **Analysis**	• how it is expected that India might develop in the future • the current importance of India to the UK and how this might change in the future • the potential impact on UK economic growth • the potential impact on the UK balance of payments both on current and capital accounts • the potential impact on employment/unemployment • UK structural change influenced by economies such as India • the impetus that stronger links with India may give to supply-side reforms • the impact on productivity and competitiveness • the impact on investment flows • use of diagrams • reference to other economies.
Evaluation	• India needs to be put into the context of other significant fastdeveloping nations which may all eventually play a part in UK macroeconomic performance • India needs to be put into the context of our currently important trading partners – the US and the EU • India may decide to remain protectionist in terms of certain types of investment and trade • how more effective, if at all, some of our competitors are in penetrating the Indian economy • the net trade flow • the net investment flow

	• whether the UK produces what India's development requires, and, if not, whether the UK is able and willing to carry out the required structural change • how supportive the UK government is of private sector efforts in penetrating the Indian economy • whether or not India's growth and development continues in the current global economic climate • a final judgement on the overall likely importance of India to the UK economy. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

[25]

21. **Issues and areas for discussion include**

Introduction	• interest rates • role of MPC • inflation and government target • understanding of 'high inflation' • cost-push/demand-pull inflation.
Developing the response to the question (analysis and application)	• aggregate demand • aggregate supply • cost-push inflation • Phillips Curve theory • macroeconomic indicators • liquidity trap (examiners note: this is not in the specification) • interest rates and the transmission mechanism • the impact of low interest rates, eg on consumer credit, investment • interest rates as a cost of production • the importance of identifying the prime cause of inflation • other macroeconomic problems at the time of high inflation • the function of interest rates in controlling inflation • analysis of the possible irrelevance of interest rates to inflation given the known cause of inflation • the impact of high interest rates on other aspects of the macroeconomy if they were to be used to control inflation, e.g. unemployment • other anti-inflation policies when interest rates are being kept low • use of diagrams • references to the real world perhaps including the stats included in the preamble to the question, as well as others known by the candidate.
Evaluation	• the importance of having low interest rates because of the condition of the macroeconomy, eg the perceived need to prevent recession and future deflation • interest rate policy as a possible irrelevance given the type of inflation which is prevalent • high inflation seen as a manageable problem irrespective of what happens to interest rates • how permanent/temporary the high inflation is seen to be • the duration of the era of low interest rates • the possible importance of having a favourable exchange rate in world markets which can be achieved through low interest rates • an assessment of the potential contribution of other policies to the battle against inflation, eg supply side, fiscal, so that high interest rates are not so vital even if the inflation arises from high demand • the extent of inflation in an international context: 'high' may be in a historical context domestically, possibly in relation to a government

	inflation target, rather than in the current international context • a final judgement perhaps in the context of recent UK experience. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

23.

For defining the concept of trade-off, inflation, demand-pull inflation, cost-push inflation, economic growth, or any other relevant definition.

How rising aggregate demand as a result of the growth process might put pressure on prices, leading to demand-pull inflation, and hence cause action to be taken to reduce AD.
How economic growth might increase pressure of demand on resources, cause producer costs to rise, causing in turn price increases and hence cost-push inflation. Action might then be taken to limit growth in order to reduce pressure of demand on resources.
For use of relevant diagrams, e.g. AD/AS, Phillips Curve.

Loose monetary policy such as lower interest rates and increased money supply causing AD to rise because of, for example, cheaper consumer credit, causing prices to rise if AS cannot respond.
Loose fiscal policy such as lower taxation.
Supply-side shocks such as rising oil prices.
Other cost pressures such as rising wage costs.
Rising expectations of future price rises.
Analysis in terms of demand-pull factors generally.
Analysis in terms of cost-push factors generally.
Any other valid analysis.

Make use of appropriate diagrams in the analysis, e.g. AD/AS, Phillips Curve

[9]

24. **Issues and areas for discussion include**

Introduction	• definition of supply-side reforms • the balance of trade in goods • improvement: reduced deficits or from deficit to surplus.
Developing the response to the question (analysis and application)	• aggregate supply • aggregate demand • productive capacity • cost-push/demand-pull inflation • productivity • the concept of competitiveness • supply-side reforms in outline • objectives of reforms, e.g. flexibility, mobility, quality, lower unit costs, choice, structural change • individual reforms relevant to the trade in goods • the significance of overseas demand for UK exports and UK demand for imported goods • other policies not linked to the supply side • use of diagrams • references to the real world.
Evaluation	• the nature, extent and effectiveness of UK reforms in relation to those of other countries • whether or not supply-side reforms can in any way compensate for decades of deindustrialisation so that imported goods are an inevitability • the long-term nature of reforms so that deficits may persist in the short and medium terms • the significance of changing tastes in world markets • supply-side reforms at a time of a sustained global downturn • supply-side reforms concentrating on lowering unit costs rather than quality and choice, so imports remain attractive, exports no more attractive • whether supply-side reforms will always be a story of 'too little, too late' • relative merits of supply-side policies to other policies that can be used to reduce deficits eg significance of exchange rates • a final judgement, perhaps in the context of recent UK experience. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

26.

Relevant issues/logical chains of analysis include:

- defining/explaining the balance of trade, visibles/invisibles, the balance of payments on current account,(persistent) deficit/surplus
- high exchange rate which has perhaps appreciated steadily over time. It has made the price of exported goods more expensive and the price of imported goods cheaper. If the price elasticity of demand for exports and imports is elastic less export revenue can be expected. Expenditure on imports will show an increase and hence a balance of trade deficit emerges, all other things being equal
- persistent inflation which compares unfavourably to that of trading partners
- high income elasticity of demand for imports
- supply-side weaknesses such as low productivity
- limited structural changes in the economy so that it no longer produces what world markets want
- deindustrialisation making increased imports of imported goods inevitable
- quality of goods compared to other countries
- economic downturns amongst our trading partners not experienced within the UK so that export sales become more difficult while imports of goods stay buoyant or even increase especially if overseas suppliers are desperate to sell and reduce their overseas prices
- comparative advantage
- protectionism in trading partners not replicated in the UK
- diagrams to help support explanations, eg AD/AS, comparative advantage, tariffs/quotas

[15]

27. **Issues and areas for discussion include**

Introduction	• economic growth • general causes of economic growth • the EU • 'the best hope' in relation to what?
Developing the response to the question (Application)	• economic growth theory • trade cycle and recession • fiscal policy and deficit-reduction policy • application to recent/current events so heavily represented in the media • the EU tumbling back into recession (lines 4–6) • variation in prospects between EU member countries (lines 7–8) • strict fiscal policies in UK and in much of the rest of the EU (lines 20–22) • recovery in the global economy (lines 35–36) • hopes for stabilisation in the eurozone (lines 40–41).
Analysis	• how the EU can help UK GDP growth, eg demand for exports, euro and other currencies strengthening against the pound • stimulus from those EU economies recovering more quickly than others • the EU and the single market • stimulus from other parts of the world, eg the emerging markets • UK supply-side reforms giving a competitive edge in albeit depressed markets • the contribution of domestic demand within the UK, eg if fiscal constraints are relaxed on spending, tax cuts are introduced, consumers begin to show a stronger response to low interest rates • the impact of any increase in domestic wage increases should they occur after a period of restraint • UK private sector beginning to more than compensate for the contraction of the public sector • investment trends in the UK • trends in the exchange rate of the £ against other currencies impacting on UK global exports • use of diagrams • references to the UK and/or other economies.

Evaluation	• whatever growth is seen within the EU, other parts of the world may grow more strongly and offer more opportunities to the UK • the speed of recovery particularly in the eurozone • the persistence/exacerbation of economic problems for the UK should the eurozone begin to break up • whether or not the UK is competitive enough against the emerging markets • greater reliance for growth from within the UK if recovery becomes more rapid, perhaps on the back of a looser fiscal policy, increased consumer and business confidence, a stronger government growth strategy • the dangers of discussing just in terms of eurozone/non-eurozone countries; analysis must be of individual EU economies to assess their potential contribution to UK growth in the future and their past importance to the UK economy • in more stable times, the size of population in the EU, total spending power, and the benefits to the UK of the single market • whatever the UK prospects for growth emanating from the EU, the long term sense of limiting UK reliance on one area of the world and developing stronger links elsewhere • a final judgement on the prospects for the UK *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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30. **Issues and areas for discussion include**

Introduction	• criteria for assessing 'significant strengthening of the economic importance' • identification of one or more MENA economies • the range of economic experience in the MENA economies.
Developing the response to the question (Application)	• comparative advantage • labour productivity • production possibilities • supply of resources from the resource-rich MENA economies (line 6) • opportunities for UK financial services (lines 12-13) • the threat from MENA manufacturing (lines 13-14) • further investment opportunities for UK in the MENA economies (lines 18-20) • the potential significance of free trade agreements between MENA and other economies (lines 24-26) • potential benefits to the UK of higher living standards in MENA countries (lines 27-30).
Analysis	• economic growth • employment and unemployment • balance of payments on current account • supply-side reforms • AD/AS analysis • comparative advantage • further structural change in the UK economy • living standards • direction of investment • use of diagrams • references to the UK and/or other economies.

Evaluation	• 'concern' needs to be measured against opportunities in the MENA economies • continuing political instability in the MENA region may dilute any threats to the UK and any opportunities for the UK in the MENA economies • the inflexibility of the UK economy may mean lost opportunities • if and when importance strengthens, the MENA economies' more powerful negotiating position regarding prices of resources needed by developed countries • MENA economies in relation to other opportunities elsewhere in the global economy • opportunities/threats in the UK domestic economy compared to those presented by the MENA economies • how the UK might compare to other economies with similar aims of gaining a foothold in the MENA economies, eg, the emerging markets • the significance of relative inflation rates between MENA economies and the UK, and between the UK compared to other economies showing interest in the MENA economies • the possible greater impact on the UK and a cause for concern if the UK's major markets, the EU and US, continue to have problems • the threat the MENA economies pose to the UK in established UK markets especially in the long term • a final judgement on the economic consequences. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill..*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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